

Ask Cinderhaven — Can I afford this retailer launch?

baseline scenario — figures reconcile to Cost of Saying Yes

Can I afford this retailer launch?

Revenue covers promo spend fast — even the slowest of your retailers (Costco) recovers its promo outlay in < 1 month of revenue. But revenue coverage is not profit: the Cost of Saying Yes model shows a launch of this size runs net-cash-negative in year one — about $-\$36,320$ on $\$499,200$ of gross revenue — once COGS, trade spend, and working capital are counted. Judge a launch on contribution margin and cash runway, not on how fast sales cover the promo check.

revenue covers promo fast — profit is the real test

Key numbers

< 1 month	Slowest revenue-coverage Costco
$-\\$36,320$	Modeled Year-1 net cash on $\$499,200$ gross — Cost of Saying Yes launch model
$\\$328,891$	Total promo investment

How this verdict was reached

Revenue-coverage months = total promo investment $\div$ average monthly revenue — a liquidity proxy, not profitability. Affordability depends on contribution margin and cash runway; the Cost of Saying Yes model puts year-one net cash at $-\$36,320$ on $\$499,200$ gross. Coverage ceiling: 18 months.

Go deeper

Cost of Saying Yes: <https://lailarallc.com/cost-of-saying-yes>

Data: Cinderhaven Provisions, a synthetic demonstration dataset (not a client).

Built by Lailara LLC — data hygiene and analytics consulting for specialty food brands scaling into national retail.
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